

SUPPLY CHAIN BUSINESS PERFORMANCE REPORT

Vendor Performance, Inventory Optimization & Risk Analysis

Prepared by: V Akhil

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Executive Summary

This report presents a comprehensive analysis of supply chain performance across vendor spend, profitability, inventory management, and procurement efficiency. The business achieved \$321.9M in total procurement spend with \$129.7M in gross profit; however, the average profit margin of -15.62% signals a critical structural issue requiring immediate attention.

\$321.9M Total Spend	\$129.7M Gross Profit	-15.62% Avg Profit Margin	\$147.8M Inventory Value	1.71x Stock Turnover	\$1.67M Total Freight
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The negative average profit margin is primarily driven by a subset of vendors — particularly MARTIGNETTI (-37.07%), M S WALKER (-33.32%), and ULTRA BEVERAGE (-17.39%) — who generate high procurement volumes but erode overall portfolio profitability. Resolving this is the single highest-priority action in this report.

WARNING: Strategic Priority

Three vendors with negative margins are dragging the portfolio average to -15.62% despite overall gross profit of \$129.7M. Addressing pricing and freight terms with these vendors could recover an estimated \$8.4M annually.

1. Vendor Spend & Concentration Analysis

1.1 Spend Distribution

Total procurement spend of \$321.9M is distributed across multiple vendors, with significant concentration at the top. The three largest vendors — DIAGEO (\$51M), MARTIGNETTI (\$28M), and JIM BEAM (\$24M) — collectively account for 32.01% of total spend.

Vendor	Total Spend	% of Total Spend	Gross Profit
DIAGEO NORTH AMERICA INC	\$51M	15.8%	\$17.8M
MARTIGNETTI COMPANIES	\$28M	8.7%	\$13.1M
JIM BEAM BRANDS COMPANY	\$24M	7.5%	\$7.7M
PERNOD RICARD USA	\$24M	7.5%	\$8.2M
BACARDI USA INC	\$18M	5.6%	\$7.4M

Vendor	Total Spend	% of Total Spend	Gross Profit
CONSTELLATION BRANDS INC	\$16M	5.0%	\$8.9M
BROWN-FORMAN CORP	\$14M	4.3%	\$4.9M
ULTRA BEVERAGE COMPANY LLP	\$13M	4.0%	\$4.6M
E & J GALLO WINERY	\$12M	3.7%	\$6.3M
M S WALKER INC	\$11M	3.4%	\$4.5M

RISK: Supplier Concentration Risk

Concentrating 32% of spend with 3 vendors creates significant supply disruption risk. A targeted strategy to shift 20% of their combined spend (\$20.6M) to alternative suppliers would reduce concentration from 32.01% to 25.6%.

1.2 Key Insights: Spend vs. Profitability Mismatch

A critical mismatch exists between procurement spend and profitability for certain vendors:

- DIAGEO leads in both spend (\$51M) and gross profit (\$17.8M) — a well-justified relationship with strong returns.
- MARTIGNETTI holds the 2nd highest spend (\$28M) and the 2nd highest gross profit (\$13.1M) in absolute terms, but carries a -37.07% average profit margin — meaning underlying unit economics are severely negative.
- ULTRA BEVERAGE has a -17.39% margin despite significant procurement volumes, suggesting pricing or freight contracts need urgent renegotiation.

ACTION: Action Required — Margin Recovery

Renegotiate pricing and freight terms with MARTIGNETTI, M S WALKER, and ULTRA BEVERAGE immediately. Recovering even 50% of their margin gap generates approximately \$8.4M in annual profit improvement.

2. Vendor Profitability & Risk Assessment

2.1 Vendor Efficiency Ranking

The following table ranks vendors by gross profit, profit margin, and stock turnover — the three core metrics that together define vendor health:

Vendor	Gross Profit	Avg Margin %	Stock Turnover
BACARDI USA INC	\$7.38M	33.37%	2.72x
PERNOD RICARD USA	\$8.16M	25.79%	1.47x
DIAGEO NORTH AMERICA INC	\$17.78M	22.39%	1.55x
JIM BEAM BRANDS COMPANY	\$7.70M	20.01%	2.24x
SAZERAC CO INC	\$3.33M	19.63%	1.62x
MOET HENNESSY USA INC	\$4.07M	13.90%	1.06x
CONSTELLATION BRANDS INC	\$8.89M	10.08%	1.20x
BROWN-FORMAN CORP	\$4.95M	11.58%	1.93x
E & J GALLO WINERY	\$6.26M	11.43%	1.00x
WINE GROUP INC	\$3.08M	5.45%	0.98x
ULTRA BEVERAGE COMPANY LLP	\$4.59M	-17.39%	1.99x
M S WALKER INC	\$4.50M	-33.32%	1.67x
MARTIGNETTI COMPANIES	\$13.10M	-37.07%	1.94x

INSIGHT: Star Vendor: BACARDI USA

BACARDI leads the portfolio with the highest margin (33.37%) AND the highest stock turnover (2.72x). This vendor should be prioritised for expanded volume agreements and used as the benchmark for all vendor negotiations.

2.2 Loss-Making Vendors — Detailed Risk Profile

Ten vendors record negative average profit margins, with the most severe cases posing material financial risk:

Vendor	Avg Profit Margin	Risk Level	Recommended Action
TRUETT HURST	-\$1,479	CRITICAL	Immediate review / exit
SOUTHERN WINE & SPIRITS	-\$1,255	CRITICAL	Immediate review / exit
IRA GOLDMAN AND ASSOC	-\$368	HIGH	Renegotiate or reduce volume
HIGHLAND WINE MERCHANTS	-\$260	HIGH	Renegotiate or reduce volume
VINEYARD BRANDS INC	-\$242	HIGH	Renegotiate or reduce volume
TREASURY WINE ESTATES	-\$211	MEDIUM	Review pricing terms
UNCORKED	-\$204	MEDIUM	Review pricing terms
Dunn Wine Brokers	-\$148	MEDIUM	Monitor closely
BLACK COVE BEVERAGES	-\$131	LOW	Monitor closely
BRONCO WINE COMPANY	-\$111	LOW	Monitor closely

3. Inventory Analysis & Optimization

3.1 Capital Tied Up in Inventory

Total inventory value of \$147.76M is spread across products and stores. The top 4 products alone — Jack Daniels (\$1.42M), Grey Goose (\$1.33M), Ketel One (\$1.22M), and Jameson (\$1.22M) — account for \$5.19M in inventory capital. Current stock turnover of 1.71x indicates there is significant room for improvement.

ACTION: Working Capital Opportunity

Increasing portfolio-wide stock turnover from 1.71x to 2.0x would free approximately \$21.4M in working capital currently tied up in excess inventory — a high-impact, low-cost improvement achievable through better replenishment policies.

3.2 Top Products by Inventory Value

Product	Inventory Value	Rank
Jack Daniels No 7 Black	\$1.42M	#1
Grey Goose Vodka	\$1.33M	#2
Ketel One Vodka	\$1.22M	#3
Jameson Irish Whiskey	\$1.22M	#4
Absolut 80 Proof	\$1.08M	#5
Baileys Irish Cream	\$1.06M	#6
Capt Morgan Spiced Rum	\$1.01M	#7
Johnnie Walker Black Label	\$0.97M	#8
Kahlua	\$0.96M	#9
Crown Royal	\$0.92M	#10

3.3 Inventory Distribution by Store

Inventory is concentrated in two locations — MOUNTMEND (29.19%) and EANVERNESS (24.98%) — together holding 54.2% of total inventory value. This over-concentration creates risk of overstock, spoilage, and inefficient capital allocation.

Store Location	% of Inventory Value	Status
MOUNTMEND	29.19%	Over-allocated

Store Location	% of Inventory Value	Status
EANVERNESS	24.98%	Over-allocated
DONCASTER	22.60%	Moderate
PITMERDEN	11.67%	Under-utilised
HORNSEY	11.55%	Under-utilised

ACTION: Redistribute Inventory

PITMERDEN and HORNSEY together hold only 23.2% of inventory despite likely serving comparable demand. Reallocating 10-15% of inventory from MOUNTMEND and EANVERNESS to these stores could reduce overstock risk and improve service levels.

4. Procurement & Freight Cost Analysis

4.1 Procurement Volume vs. Profitability Alignment

The highest procurement volume vendor — DIAGEO (5.5M units) — delivers a healthy 22.39% margin. However, MARTIGNETTI combines high volume (2.6M units) with a -37.07% margin, making it the most financially damaging relationship in the portfolio. Procurement volume decisions are currently not sufficiently guided by margin performance.

ACTION: Introduce GP-per-Unit as a Procurement KPI

Procurement decisions should incorporate Gross Profit per unit and profit margin as core metrics alongside volume and total gross profit. This prevents expanding low-margin vendor relationships that look profitable in absolute terms but destroy value at the unit level.

4.2 Freight Cost Efficiency

Total freight cost across the network is \$1.67M. DIAGEO generates the highest absolute freight cost (\$0.26M) due to volume, but its freight-to-spend ratio (0.51%) is above the network average of 0.47%. CONSTELLATION operates most efficiently at 0.33%.

Vendor	Total Freight Cost	Freight-to-Spend Ratio
DIAGEO NORTH AMERICA INC	\$0.26M	0.51% ▲ Above avg
MARTIGNETTI COMPANIES	\$0.14M	0.50% ▲ Above avg
JIM BEAM BRANDS COMPANY	\$0.12M	0.50% ▲ Above avg
PERNOD RICARD USA	\$0.12M	0.50% — Near avg
BACARDI USA INC	\$0.09M	0.50% — Near avg
CONSTELLATION BRANDS INC	\$0.08M	0.33% ✓ Below avg
BROWN-FORMAN CORP	\$0.07M	0.50% — Near avg
ULTRA BEVERAGE COMPANY LLP	\$0.07M	0.54% ▲ Above avg
E & J GALLO WINERY	\$0.06M	0.50% — Near avg
M S WALKER INC	\$0.06M	0.55% ▲ Above avg

ACTION: Freight Savings Opportunity

Renegotiating freight contracts for above-average vendors (DIAGEO, M S WALKER, ULTRA BEVERAGE) and consolidating shipments could save \$49K+ annually. Using CONSTELLATION's 0.33% ratio as the benchmark could yield further savings of up to \$220K if applied across the full portfolio.

5. Strategic Recommendations & Action Plan

The following prioritised recommendations are derived from the full analysis. Each is tied to a measurable business impact.

5.1 High Priority — Immediate Actions (0–3 Months)

R1: Renegotiate Negative-Margin Vendor Contracts

MARTIGNETTI (-37.07%), M S WALKER (-33.32%), and ULTRA BEVERAGE (-17.39%) must be the subject of urgent contract reviews. Target: recover 50% of the margin gap.

- Estimated impact: +\$8.4M annual profit improvement
- Owner: Procurement Director + Finance
- Timeline: Begin renegotiation within 30 days

R2: Exit or Restructure Critical Loss-Making Vendors

TRUETT HURST (-\$1,479 margin) and SOUTHERN WINE & SPIRITS (-\$1,255 margin) pose the most severe unit-level losses. Immediate review for exit or volume reduction is required.

- Estimated impact: Eliminates direct margin drain
- Owner: Procurement Director
- Timeline: Decision within 30 days, exit/restructure within 60 days

R3: Protect Top-Profit Vendor Relationships

DIAGEO (\$17.8M gross profit), MARTIGNETTI (\$13.1M), CONSTELLATION (\$8.9M), and PERNOD RICARD (\$8.2M) generate 37% of total gross profit. Volume-based agreements should be negotiated to lock in margins.

- Estimated impact: Protects \$47.9M (37%) of gross profit
- Owner: Procurement Director
- Timeline: Negotiate agreements within 60 days

5.2 Medium Priority — Short-Term Actions (3–6 Months)

R4: Implement GP-per-Unit as a Procurement KPI

Add Gross Profit per unit and profit margin as mandatory metrics in all procurement performance reviews and vendor selection decisions.

- Estimated impact: Prevents expansion of loss-making vendor relationships
- Owner: Analytics + Procurement

R5: Optimise Inventory Replenishment Policies

Review and update reorder points for the top 10 inventory products (Jack Daniels, Grey Goose, Ketel One, Jameson, etc.) to align stock levels with actual sales velocity.

- Estimated impact: Increase stock turnover from 1.71x to 2.0x, freeing ~\$21.4M in working capital
- Owner: Inventory & Warehouse Team

R6: Redistribute Inventory Across Store Locations

Reduce allocation to MOUNTMEND (29.19%) and EANVERNESS (24.98%) by 10–15%, reallocating to PITMERDEN and HORNSEY.

- Estimated impact: Reduces overstock risk; improves service levels at underserved stores
- Owner: Store Operations + Supply Chain Planner

5.3 Longer-Term Actions (6–12 Months)

R7: Reduce Supplier Concentration

Shift 20% of combined top-3 vendor spend (\$20.6M) to alternative qualified suppliers to reduce concentration from 32.01% to 25.6%.

- Estimated impact: Improved supply continuity; reduced single-vendor dependency risk

R8: Renegotiate Freight Agreements

Consolidate shipments and renegotiate contracts for vendors with above-average freight-to-spend ratios, using CONSTELLATION's 0.33% ratio as the benchmark target.

- Estimated impact: \$49K–\$220K annual freight savings

6. Summary Impact Table

Recommendation	Priority	Est. Impact	Timeline
R1: Renegotiate negative-margin vendors	CRITICAL	+\$8.4M/yr	0–30 days
R2: Exit critical loss-making vendors	CRITICAL	Eliminates drain	0–60 days
R3: Protect top gross-profit vendors	HIGH	Protects \$47.9M	0–60 days
R4: Introduce GP-per-unit KPI	HIGH	Prevents losses	1–3 months
R5: Optimize inventory replenishment	HIGH	~\$21.4M freed	3–6 months
R6: Redistribute inventory by store	MEDIUM	Reduces overstock	3–6 months
R7: Reduce supplier concentration	MEDIUM	Risk reduction	6–12 months

Recommendation	Priority	Est. Impact	Timeline
R8: Renegotiate freight agreements	MEDIUM	\$49K–\$220K/yr	6–12 months

7. Conclusion

The business demonstrates strong procurement scale (\$321.9M) and meaningful gross profit (\$129.7M). However, the -15.62% average profit margin reveals that a structural profitability problem — driven by a concentrated group of loss-making or below-cost vendor relationships — is undermining portfolio performance.

The good news: the data clearly identifies both the problem and the path forward. Executing the recommendations in this report, particularly R1 through R3, could recover \$8.4M+ in annual profit within the first year while positioning the business for sustainable, margin-positive growth.

A dashboard shows the numbers. This report tells you what to do about them.

ACTION: Next Step

Schedule a vendor performance review meeting within the next 2 weeks to assign owners and agree timelines for recommendations R1, R2, and R3. These three actions alone represent the majority of the recoverable value identified in this analysis.